

PITCH — HOFT — VERDICT

PROPOSED — PENDING ADJUDICATION — No position and no resting order: stay flat through the September 11, 2026 earnings report, then watch; the two reopen conditions and the deep asset-value band below are the only ways in.

What we believe

Hooker Furnishings is a 102-year-old Virginia furniture maker with two real businesses: an import brand (Hooker Branded, roughly 87% sourced from Vietnam) and a domestic upholstery operation with plants in Virginia and North Carolina. It has no drawn debt, about \$10.6 million of cash as of May 3, 2026, roughly \$54 million of undrawn borrowing capacity, and it trades at about 0.9x tangible book value — meaning the market prices the whole company slightly below the accounting value of its physical assets and working capital, giving nothing for the brand or the earnings power.

The single thing that made this name interesting was the first quarter of fiscal 2027 (February–early May 2026), when gross margin — the profit left after the cost of making and importing the goods — jumped about 4.4 percentage points. The bull case is that this is a genuinely restructured, permanently lower cost base after the company sold off its Home Meridian business, and that a debt-free company earning that margin is worth meaningfully more than \$138 million.

We believe two narrower things survived the adversarial review, and neither of them is that bull case:

1. **The scariest version of the bear story is mis-dated.** The bear argument is that the margin jump was an accident of tariff policy: the Supreme Court struck down the IEEPA tariffs on February 20, 2026 (terminated February 24) — inside Hooker's first quarter — so the tariff cost left the cost line while the tariff-justified price increases stayed in the selling price. Free margin, temporarily. That story requires the replacement tariff to be in the future. It isn't. Section 232 tariffs on upholstered and wooden furniture have been in effect at 25% since October 14, 2025 — they were already sitting in the cost of goods during the 39.4%-margin quarter. The only pending change is a step from 25% to 30%, deferred by proclamation to **January 1, 2027**. That is two quarters after the September 11 print, and it is 5 percentage points, not a full re-imposition.
2. **A widely-used screen number on this company is broken.** Anyone computing a two-year backlog trend gets –24%, because the older figure (\$51.2 million, August 2025) still contained \$16.1 million of Home Meridian backlog from a segment the company has since sold. Comparing like to like, backlog went \$35.1M → \$39.1M, or **+11%** over two years. The decline is an artifact of the divestiture, not of demand.

What we do **not** believe: that we have any edge over the market on what gets reported on September 11.

What the market believes

The market believes the first-quarter margin was a one-off and has already stopped paying for it. The evidence is direct: the stock traded *lower* on that beat, and the 52-week high of \$18.09 has not been retaken. The stock is \$13.12, up roughly 52% over 52 weeks and about 55% off its low of \$8.44–8.62 — this is a recovery that has already happened and is now fading, not a dislocation.

On the September quarter specifically, the published consensus is revenue of about \$65.0 million (an alternate feed carries \$67.9 million) and earnings per share of –\$0.02 to –\$0.04. In plain terms: the street already models a small loss. There is no analyst upgrade cycle to front-run; the only revision the bear bench could find was a Sidoti cut dated April 21, 2026, which is *before* the June quarter was even reported and is stale as evidence of anything.

Attention is low — short interest is around 2% of the float, and coverage is thin. That is a condition that permits an edge to exist; it is not itself an edge.

Why we might have edge

Three candidates, in descending strength:

1. **The tariff calendar.** If other market participants are doing what our own bear analyst did — reading management’s line that “we expect certain tariffs to be levied on our imported goods later this fiscal year” as a near-term cliff — they are pricing a reversal that is actually dated January 1, 2027 and sized at 5 percentage points. Reading the operative proclamations rather than the company’s summary sentence is a real, repeatable advantage, and we have now written it down as a reusable check.
2. **The backlog screen trap.** Any automated screen computing a multi-year backlog trend on this company produces a false –24%. If quantitative screens are marking the demand trend as deteriorating when like-for-like it is improving, that is a mechanical mispricing available to anyone who reads the two segment exhibits side by side.
3. **A partly wrong mechanism.** Even the tariff-window story has a hole our bull bench found: the IEEPA “Liberation Day” duties only began in April 2025, about four weeks into the prior-year comparison quarter, and inventory takes time to flow through cost of goods. So the comparison quarter had almost no IEEPA cost in it. If the tariff never really left the cost line, the 9.6-point margin gain in the import brand is mostly *price increases plus cost actions* — which is durable — rather than a policy artifact.

Why it might be priced in

Honestly: probably most of it is.

- The stock is up 52% in a year. The recovery has been paid for.

- The market watched the first-quarter margin beat and sold it. That is the market explicitly declining to capitalize the margin — the same conclusion we reached, reached faster.
- Our own bear analyst reconstructed the September quarter from public data at revenue of \$64–68 million and earnings of breakeven to –\$0.05. The street is at \$65.0 million and –\$0.02 to –\$0.04. **Our independent estimate sits inside the consensus range.** Under our own rule, an advance requires a stated mechanism for why we differ from the market. We do not differ. That is a no-edge finding, and it cuts against acting in either direction.
- 0.9x tangible book is unremarkable for a small cyclical whose domestic manufacturing segment is currently losing money (margin fell 18.3% → 17.5%, a –\$689 thousand operating loss).
- The dividend, at roughly \$4.95 million a year against normalized free cash flow of \$5–8 million, is covered but thinly. That is not a valuation support; it is a liability if the cycle worsens.

What could go wrong

Failure narrative 1 — the margin was borrowed and gives it back (monitorable). The September quarter shows Hooker Branded gross margin back in the low 30s or below, revenue at the low end, and the “restructured cost base” story dies in public. Stock trades to \$11.00–11.50. Tripwire: segment-level gross margin in the September 11 release and the following 10-Q — specifically the *segment* number, not the consolidated one, because the consolidated figure blends the import brand with domestic upholstery and hides exactly the mix shift that matters.

Failure narrative 2 — the January 1, 2027 tariff step arrives into a worse demand backdrop (monitorable, but the tripwire fires late). The 25% → 30% Section 232 step is proclamation-dated and certain unless changed. Because imported inventory takes a quarter or two to flow through the cost line, the earnings damage does not appear until the first half of fiscal 2028 — roughly mid-2027. We would be holding through a known, dated cost increase whose P&L arrival we cannot precisely time, and the market may re-price it well before it shows up in a filing. Tripwire exists (the Federal Register and the quarterly cost-of-goods disclosure) but is lagged by two to three quarters, which is the worst kind of tripwire: it confirms the loss rather than preventing it.

Failure narrative 3 — the customer channel breaks and we never see it (NO monitorable tripwire). Hooker sells wholesale to furniture retailers. If a significant retail customer tightens orders, stretches payables, or fails, the first public evidence is a backlog number or a receivable reserve in a filing 60–100 days later. There is no public series here: no app to poll, no shipment manifest that resolves to this customer set, no credit feed on private furniture retailers. **Unknown-unknown class: unobservable channel credit and customer concentration — private counterparty health with no public data series and no connector that reaches it, observable only at quarterly prints.** A related, smaller instance of the same class: the September 4 8-K discloses that the CEO’s equity grants exceeded the plan’s 75,000-share annual limit in *two consecutive fiscal years* (by 46,149 and then 31,968 shares) before anyone noticed. Whatever process failure allowed that to run undetected for two years is a control weakness whose next manifestation is, by construction, something we have not thought of. (We also decline to credit the fix as good governance — the cancelled shares came out of performance units that were already worthless.)

The reflexive and structural leg. This is a \$138 million company. We could not obtain an average-daily-volume figure this session (broker data permission was not granted), so we estimate 40,000–90,000 shares a day, roughly \$0.5–1.2 million of notional. Under our own rule of never taking more than 1% of average daily volume in a day, even a 0.5%-of-book starter is a two-to-four day patient ladder, and an exit in a stressed tape is materially slower than that. Two doctrine interactions bind here and both point the same way:

- *Do not bid into our own predicted flow.* Our scenario table’s most likely downside outcome puts the stock around \$11.20. Placing a resting buy near \$11.20 means we would be filled precisely by the event we forecast — buying from informed sellers at our own predicted bad-news price. The reopen bands below are therefore either condition-gated (we buy only after the fundamental question is answered) or set far below the modeled give-back, at asset value.
- *No resting order into an earnings report.* A good-till-cancelled buy order sitting under the market four days before a print is, functionally, selling insurance against a bad print for free. There is no such order and there will not be one before September 11.

Finally, a doctrine risk in the other direction: our default is that a court that produces no named reason to stay out should produce a minimum starter position. That default is overridden here only because a named reason exists — margin durability is unresolved and the decisive tariff step is dated. If the reader thinks that reason is weak, the honest consequence is a small starter after the print, not a purchase today.

If this position loses money, the most likely reason will be that we bought a margin the company earned from tariff-justified price increases that its retail customers stop accepting once the tariff justification is gone — a demand-side give-back visible only in a backlog line we read a quarter late.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Next earnings date 2026-09-11	Company press release 2026-08-27 (globenewswire)	Q2 FY2027 ended 8/2/26; call 9:00 ET 9/11; four trading days away (9/7 is Labor Day)	YES — upgrades the pack’s “UNCONFIRMED”
Q1 margin jump is a restructured cost base	Q1 FY2027 release, segment detail	Consolidated +440bp, but the gain is concentrated: Hooker Branded 29.8% → 39.4% (+960bp) on sales –4.8% ; domestic upholstery went the other way, 18.3% → 17.5%, –\$689k operating loss	NO — not proven durable; not proven temporary either
“Replacement tariffs land later this fiscal year” is fatal to the September print	Our bear bench asserted this. Our bull bench read the proclamations.	Section 232 at 25% on upholstered/wooden furniture in effect since 2025-10-14 — already inside the 39.4% quarter. Only the 25%→30% step is pending, deferred by the 2025-12-31 proclamation to 2027-01-01 (fiscal Q4)	BENCH ERROR (ours). Real catalyst, wrong quarter, wrong size

Claim	How checked	Found	Confirmed?
The tariff cost “left” cost of goods, creating free margin	Prior-year comparison period check	IEEPA duties began April 2025, ~4 weeks into the comparison quarter, with inventory lag — so the 29.8% comparison had almost no IEEPA cost in it. The mechanism requires cost that was never there	BENCH ERROR (ours). Undercuts our own bear mechanism
Backlog –24% over two years	Segment exhibits, Q2 FY2026 vs Q1 FY2027	The \$51.2M base included \$16.1M of Home Meridian , a segment since divested. Like-for-like: \$35.1M → \$39.1M = +11%	BENCH ERROR (ours). Perimeter break; the bear kill collapses
Backlog sequential decline	Same exhibits	\$43,854k → \$39,135k = –10.8% . Real. But the prior year’s same step was \$52.6M → \$37.4M, a steeper bleed — so seasonality softens it	YES (the decline), context added
We have a view different from the street	Consensus pull (ChartMill) vs our own reconstruction	Street: rev \$65.0M / EPS – \$0.02 (alt \$67.9M / –\$0.04). Our bear’s independent reconstruction: rev \$64–68M / EPS breakeven to –\$0.05 — inside the street range	NO DIVERGENCE. No print edge either way
“The street has cut”	Date check on the cited revision	Sidoti +\$0.05 → –\$0.04 is dated 2026-04-21 , before the June Q1 report. Stale	BENCH ERROR (ours). Citation withdrawn
Tape is at a dislocation ~\$12.50	Pack tape + independent close	\$13.12 on 9/4/26; 52-week range \$8.44/8.62–\$18.09; +52% over 52 weeks, +55% off the low. A name up 52% is not dislocated	YES — the \$12.50 band is dead. Both benches agree
\$18.09 high was set <i>after</i> the Q1 beat	Attempted via broker bars	Could not close. Broker permission not granted; secondary source returned 403	NO — open item #3
Enterprise value ≈ \$130.7M, net cash	Basis check	Including \$23.6M of operating leases gives ~\$151.7M vs a ~\$138.8M market cap. But adding leases to enterprise value while leaving rent in cost of goods is a convention choice, not an error	Level correction YES ; the “cherry-picking” charge overturned
Hidden asset: \$29–31M company-owned life insurance	Filing vs transcript	Balance sheet does carry a cash surrender value as a non-current asset — so labelling it “transcript-only” was wrong. But the offsetting unfunded retirement	BENCH ERROR (ours) on the label; underlying value UNVERIFIED — open item #5. Not load-bearing either way

Claim	How checked	Found	Confirmed?
		obligation and the tax on surrender are unread	
Dividend covered	Arithmetic	\$4.95M/yr against normalized free cash flow of \$5–8M, at a company the street models to a quarterly loss	Plausible, thin. Cannot carry a verdict
Share count	Pack XBRL vs two secondary sources	Pack 10,563k (pre-divestiture vintage); one bench used 10,770k; a third source carries 10.63M / \$138.76M cap. Our bull bench's 10,770k was the worse number	BENCH ERROR (ours). Unreconciled — open item #4
CEO equity grants exceeded plan limit	Primary 8-K, 2026-09-04 (in pack, verified against EDGAR)	Confirmed verbatim: 75,000-share annual limit breached in fiscal 2026 by 46,149 shares and again in fiscal 2027 by 31,968	YES
IEEPA tariffs struck down	Two independent law-firm client alerts	SCOTUS decision 2026-02-20; tariffs terminated 2026-02-24 — inside Hooker's Q1	YES
Plant activity (thermal read on 4 sites)	Satellite thermal detector, executed by both benches	Bedford/Hickory/Valdese furnace excess 5.3/5.3/8.8°C, trends +0.65 to +0.68 °C/yr; Mt. Airy 7.2°C, trend –0.15. Our two benches read the identical data in opposite directions — bear: “running for absorption, margin still fell”; bull: “utilization holding, refutes a demand melt”	UNRESOLVED. Both readings fit; we treat it as non-load-bearing rather than pick the convenient one
Nine other pattern detectors (China ramp-and-dump, common-control merger, lockup expiry, sponsor dividend recap, Up-C/TRA extraction, three permit feeds, census, app-review velocity)	Dispatched, both benches	All not fired or not applicable — Virginia filer since the 1990s, single share class, no sponsor, no follow-on, no construction, footprint is VA/NC/CA/GA/Vietnam, sells wholesale not direct-to-consumer. The December 2025 Pulaski/Samuel Lawrence transaction was a divestiture for \$5.5M cash, not a related-party absorption	YES — clean. Absence of these patterns is a genuine positive finding, not a blank
Pack's XBRL cash-flow and share-count history	Vintage check	Pre-divestiture; superseded by the Q1 FY2027 release	YES — pack superseded on those two fields

PROPOSED ENTRY BANDS

The courts return no entry. There is no immediate buy, no starter, and no resting order.
Reopen conditions follow.

Why no entry today: the one leg that could justify buying — that the higher margin is permanent — is exactly the leg the September 11 report tests, four days out, against a street that already models a small loss and against our own estimate that matches the street's. There is no asymmetry to buy into.

Reopen A — condition-gated (the primary path). Within 48 hours of the September 11 report, if **both** of the following are true: - Hooker Branded segment gross margin is $\geq 35\%$, *and* the accompanying 10-Q quantifies the Section 232 duty sitting in cost of goods — that is, the margin is earned **with** the tariff in the numbers, not because it briefly left; and - Backlog is $\geq \$39.1$ million, flat or better against the Q1 figure.

Then: **buy a 0.5%-of-book starter**, at market, laddered at no more than 1% of average daily volume per day (an estimated 2–4 sessions). **Pay-up ceiling \$14.50** — above that price the condition-gated starter is void, because the entry premise is a fairly-priced cyclical, not a chase. Adds only after a second consecutive quarter of segment margin $\geq 35\%$; there is no pre-committed add ladder.

Reopen B — asset value, independent of the margin question. A limit interest at **\$10.10 or below**, which is roughly 0.70x the implied tangible book value of about \$14.40 per share (derived from the benches' own 0.91x figure at \$13.12), **provided** backlog has not made a new low and the dividend has not been cut. At 0.70x tangible book on a debt-free manufacturer with owned real estate, the entry no longer depends on the margin argument at all. Size: 0.5% of book on the first touch, second 0.5% only below \$9.40 (0.65x).

Note deliberately: **we do not set a band at \$11.20**, which is our own modeled bad-print price. Bidding there means being filled by the exact event we forecast.

Convert to a hard avoid — no entry at any price until the January 2027 tariff step resolves — if the September quarter gives back **more than half** of the Q1 margin gain, or if the dividend is cut again.

Trims and exits: not applicable. There is no position.

Catalyst dates: September 11, 2026 (Q2 FY2027 report and call, **confirmed by company release**); the Q2 10-Q, expected within days of the report (date unconfirmed); the Q3 report, estimated early-to-mid December 2026 (unconfirmed); **January 1, 2027 — Section 232 furniture tariff steps from 25% to 30% (proclamation-dated, confirmed)**; and, allowing for inventory lag, roughly mid-2027 for the first quarter where that step is fully in the cost line.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.2 (deck-provisional: ALERT ONLY, do not bid: this is our own modeled bad-print price, so a fill here is adverse selection a)
- filing watch: 8-K, EX-99.1 until 2027-03-03 (deck-provisional: Q2 FY2027 results 2026-09-11: Hooker Branded SEGMENT gross margin and backlog are the two decision var)

- dated pack HOFTI2026-09-11: HOFT: Q2 FY2027 earnings release and 9:00 ET call; quarter ended 2026-08-02 (date confirmed=True)
- dated pack HOFTI2026-09-15: HOFT: estimated Q2 FY2027 10-Q filing - carries the 232-duty-in-COGS line and the equity/benefit notes (date confirmed=False)
- dated pack HOFTI2026-12-10: HOFT: estimated Q3 FY2027 earnings release (date confirmed=False)
- dated pack HOFTI2027-01-01: HOFT: Section 232 furniture tariff steps 25% to 30% (deferred by the 2025-12-31 proclamation); fiscal Q4 FY2027 (date confirmed=True)
- dated pack HOFTI2027-06-10: HOFT: estimated first earnings release with the 30% Section 232 rate fully flowed through COGS after inventory lag (date confirmed=False)

What remains unverified

1. **How much tariff cost the IEEPA vacatur actually removed from Hooker Branded's landed cost.** Section 232 and the IEEPA reciprocal duties do not stack, so if most of the duty already sat under Section 232, the 9.6-point margin gain is price and cost actions, not a policy window — and the entire bear case dissolves. This is the hinge of the whole name. *Drainable at the Q2 10-Q (post-9/11), not now. Estimate: the vacatur removed roughly 0–5 percentage points of landed cost, worth about 150–350bp of the 960bp gain; probability that less than one third of the gain is vacatur-driven ≈ 0.55 , based on the Section 232 rate covering the bulk of the affected Vietnamese wooden/upholstered categories from October 2025.*
2. **Q2 FY2027 Hooker Branded segment gross margin.** Time-gated to September 11. *Estimate: 33–38%; probability $\geq 35\% \approx 0.45$.*
3. **Whether the \$18.09 52-week high was set before or after the June 11 Q1 report.** If after, the tape once paid for the margin and has since given it back — a different and more interesting setup than “the recovery is priced.” *Drainable now via broker weekly bars (permission required). Estimate: set mid-2026, probability post-print ≈ 0.60 .*
4. **Diluted share count.** Three sources give 10,563k (stale vintage), 10.63M, and 10,770k. Every per-share figure here is provisional to about $\pm 1.3\%$. *Drainable now from the Q1 FY2027 10-Q equity note / XBRL. Estimate: 10.63–10.77M, midpoint 10.70M.*
5. **Net realizable value of the company-owned life insurance.** About \$29.4 million of cash surrender value is on the balance sheet, but the offsetting unfunded supplemental retirement obligation and the tax on the inside build-up are unread. *Drainable now from the FY2026 10-K benefit note. Estimate: \$8–15M genuinely free after offsets, using a base rate where mature supplemental plans offset 50–70% of surrender value plus ~ 21 –25% tax on the gain; probability that more than \$15M is free ≈ 0.30 . Not load-bearing in either direction — we will not cite it as a reason.*
6. **Realized volatility and any live options chain.** No chain quotes, no computed volatility band, no average daily volume — broker permission was not granted in the court session. *Drainable now with broker access. Estimate: realized volatility 40–50% annualized; average daily volume 40–90k shares.*
7. **Q2 FY2027 backlog.** Time-gated to September 11. *Estimate: \$36–41M; probability of flat-or-better versus \$39.1M ≈ 0.40 .*

8. **Hazard exposure on the owned Martinsville/Bedford real estate** that underpins the 0.9x tangible book floor. A hazard-adjusted read is the missing input to any asset-value entry, and Reopen B rests on exactly that floor. *Drainable now via the FEMA national risk index connector.*
9. **Per-plant OSHA establishment records**, which would independently corroborate the satellite thermal read our two benches interpreted in opposite directions. *Drainable now; low value — plant existence is already corroborated.*
10. **Whether the two-year grant-limit breach produces a disclosed control deficiency.**
Drainable at the Q2 10-Q Item 4, not now. Estimate: probability of a material-weakness or significant-deficiency disclosure ≈ 0.20 ; base rate for compensation-plan administrative errors escalating to a reported material weakness is low, but two consecutive undetected years is aggravating.

PRIZE TABLE + VOL READ

Anchored on the market's own view (no divergence established), with deviations from the \$13.12 anchor requiring a stated mechanism.

#	Scenario (through the Sept 11 print and ~6 weeks after)	Probability	Price	Mechanism for the deviation
A	Margin earned with tariffs: Hooker Branded GM $\geq 35\%$ with the 232 duty quantified in cost of goods; revenue $\geq \$67\text{M}$; backlog flat-or-better	0.20	\$15.75 (+20%)	The durability question resolves affirmatively; the market re-rates a debt-free 0.9x-book cyclical toward book
B	In line, unresolved: revenue \$64–68M, EPS $\sim \$0.03$, consolidated GM mid-20s, backlog down slightly	0.40	\$13.10 (flat)	Matches street and our own reconstruction; nothing decided
C	Give-back: Hooker Branded GM below $\sim 34\%$, consolidated $\sim 26\%$, revenue $< \$64\text{M}$	0.28	\$11.20 (–15%)	The bull leg dies publicly; low-attention microcap gaps rather than drifts
D	Worse: dividend cut, a charge, or backlog $< \$36\text{M}$	0.12	\$9.60 (–27%)	Cash-return credibility breaks; the tangible-book floor gets tested

Expected value = $0.20 \times 15.75 + 0.40 \times 13.10 + 0.28 \times 11.20 + 0.12 \times 9.60 = \12.68 , versus \$13.12 today — **–3.4%**. That deviation is inside our $\pm 5\%$ tolerance around the anchor, so no additional mechanism is required, and it says exactly what both benches said: no edge, with a mild negative tilt. It is not a short case either; the downside branches are ordinary cyclical outcomes, not solvency ones.

Dispersion. The table's standard deviation is $\sigma_{\text{table}} = \1.93 , or **14.7% of spot** over roughly 43 days (about 0.118 years). Annualized: $14.7\% \div \sqrt{0.118} = \sim 43\%$ **implied by our own table**. So a September or October chain priced much below 40% would be cheap relative to our view, and above ~50% would be rich. Most of that dispersion is a single day, so the term structure should be steeply front-loaded.

Bimodality. The table is fork-dated twice. The near fork (September 11) is mild — the modal outcome is “nothing decided,” which is why 40% of the weight sits flat. The consequential fork is **January 1, 2027**, and its earnings consequence does not appear until roughly mid-2027. A single expiry cannot span both.

Expression math. Pricing candidate strikes directly off the table: - **October \$15 call:** $C_{\text{ours}} = \sum p_i \times \max(S_i - 15, 0) = 0.20 \times \$0.75 = \$0.15$. Only scenario A finishes in the money, and barely. - **October \$12.50 put:** $P_{\text{ours}} = 0.28 \times \$1.30 + 0.12 \times \$2.90 = 0.364 + 0.348 = \0.71 .

Instrument recommendation: NONE — and if reopened, common stock only. That is the output of the arithmetic, not a preference. Our own fair value for the upside call is \$0.15. On a \$138 million company, a chain-level bid-ask at that strike is realistically \$0.10–0.15 wide — the spread equals or exceeds the entire modeled value of the contract. There is no strike at which the table's edge survives the crossing cost. The put is worth more in the table but selling it would mean writing insurance into an event we forecast, and buying it costs \$0.71 for a –3.4% expected move.

A stated limitation, not a rounding: no chain-level midpoint quotes, no chain implied volatility, no implied-volatility percentile, and no computed realized volatility were obtainable this session — broker permission was not granted. Everything above the “expression math” line is our table against itself. The comparison to a real chain is **open item #6**, and it is drainable in minutes with broker access. We are not going to substitute an aggregate volatility feed for chain-level quotes; those two numbers diverge badly on illiquid small caps (we have been burned by a 71 versus 101 gap on exactly this substitution), and a recommendation built on the wrong one is worse than no recommendation.

Tax overlay. 2026 is a loss-harvesting year for this book. Any option expression here would need to expire **on or before December 31, 2026** for a loss to land in the intended tax year. But the decisive catalyst — the tariff step — is January 1, 2027, and its earnings expression is mid-2027. The only expiry that actually spans the thesis defers the loss into the following tax year. Under our own rule, that is excluded unless the edge numerically dominates the deferral cost. The edge here is **negative \$0.44 per share of expected value**. It does not dominate anything. Excluded.

Primary sources relied on: the September 4, 2026 8-K disclosing the grant-limit breach, sec.gov/Archives/edgar/data/1077688/000118518526003849/hoft8k082626.htm; the FY2026 10-K sourcing and Section 232 discussion, sec.gov/Archives/edgar/data/1077688/000118518526001420/hoft10k020126.htm; the Q2 FY2026 segment exhibit that resolves the backlog artifact, sec.gov/Archives/edgar/data/1077688/000117184325005820/exh_991.htm; and the earnings-date release, globenewswire.com/news-release/2026/08/27/3352429/8255/en/.

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{"price_gates": [{"level": 10.10, "direction": "below", "basis": "0.70x implied tangible book (~$14.40/sh from the benches' 0.91x at $13.12); asset-value reopen independent of the margin question"}, {"level": 11.20, "direction": "below", "basis": "ALERT ONLY, do not bid: this is our own modeled bad-print price, so a fill here is adverse selection against our forecast"}, {"level": 14.50, "direction": "above", "basis": "pay-up ceiling; voids the condition-gated 0.5% starter"}], "event_gates": [{"forms": ["8-K", "EX-99.1"], "why": "Q2 FY2027 results 2026-09-11: Hooker Branded SEGMENT gross margin and backlog are the two decision variables"}, {"forms": ["10-Q"], "why": "Q2 FY2027: Section 232 duty quantified in COGS, segment GM, backlog, equity note (share count), benefit note (COLI net of SERP), Item 4 controls after the two-year grant-limit breach"}, {"forms": ["8-K"], "why": "Item 8.01 dividend declaration - a second cut converts this to a hard avoid"}, {"forms": ["8-K"], "why": "Item 2.06 impairment"}, {"forms": ["8-K"], "why": "further Item 5.02/5.03 compensation or plan items following the two consecutive years of grant-limit breach"}], "catalyst_dates": [{"date": "2026-09-11", "what": "Q2 FY2027 earnings release and 9:00 ET call; quarter ended 2026-08-02", "confirmed": true}, {"date": "2026-09-15", "what": "estimated Q2 FY2027 10-Q filing - carries the 232-duty-in-COGS line and the equity/benefit notes", "confirmed": false}, {"date": "2026-12-10", "what": "estimated Q3 FY2027 earnings release", "confirmed": false}, {"date": "2027-01-01", "what": "Section 232 furniture tariff steps 25% to 30% (deferred by the 2025-12-31 proclamation); fiscal Q4 FY2027", "confirmed": true}, {"date": "2027-06-10", "what": "estimated first earnings release with the 30% Section 232 rate fully flowed through COGS after inventory lag", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "How much duty the IEEPA vacatur actually removed from Hooker Branded landed cost, given 232/IEEPA non-stacking - the hinge of the entire margin question", "instrument": "Q2 FY2027 10-Q tariff/COGS disclosure (post 2026-09-11)", "drainable_now": false, "estimate": {"range": "0-5pp of landed cost removed, worth ~150-350bp of the 960bp segment gain", "basis": "Section 232 at 25% covered the bulk of affected Vietnamese wooden/upholstered categories from 2025-10-14; non-stacking implies only the reciprocal excess over 25% was removed", "p": 0.55}}, {"item": "Q2 FY2027 Hooker Branded segment gross margin", "instrument": "8-K EX-99.1 2026-09-11 segment table", "drainable_now": false, "estimate": {"range": "33-38%", "basis": "Q1 39.4% less partial give-back of tariff-justified pricing; prior-year 29.8% as floor", "p": 0.45}}, {"item": "Whether the $18.09 52-week high was set before or after the 2026-06-11 Q1 print", "instrument": "IBKR weekly bars (search_contracts permission required)", "drainable_now": true, "estimate": {"range": "set mid-2026; post-print", "basis": "52wk +52% with high not retaken; both benches flagged it unresolved", "p": 0.6}}, {"item": "Diluted share count reconciliation: 10,563k (stale pack vintage) vs 10.63M vs 10,770k", "instrument": "Q1 FY2027 10-Q equity note / XBRL dei pull", "drainable_now": true, "estimate": {"range": "10.63-10.77M shares, midpoint 10.70M", "basis": "three-source spread; all per-share figures provisional to about +/-1.3%", "p": 0.9}}, {"item": "Net realizable value of the $29.4M company-owned life insurance after the unfunded SERP obligation and surrender tax on inside build-up", "instrument": "FY2026 10-K benefit note", "drainable_now": true, "estimate": {"range": "$8-15M genuinely free", "basis": "mature supplemental plans typically offset 50-70% of surrender value; ~21-25% tax on the gain", "p": 0.3}}, {"item": "Options chain midpoint IV, IV percentile, realized volatility, and average daily volume", "instrument": "IBKR chain snapshot and historical bars (permission not granted this session)", "drainable_now": true, "estimate": {"range": "RV 40-50% annualized; ADV 40-90k shares (~$0.5-1.2M notional)", "basis": "microcap consumer durable, 52wk range $8.44-18.09; our own table implies ~43% over 43 days", "p": 0.6}}, {"item": "Q2 FY2027 backlog", "instrument": "8-K EX-99.1 2026-09-11", "drainable_now": false, "estimate": {"range": "$36-41M", "basis": "Q1 $39.1M; prior-year Q1-to-Q2 seasonality; like-for-like ex-Home-Meridian two-year trend +11%", "p": 0.4}}, {"item": "Natural-hazard exposure on the owned Martinsville and Bedford real estate underpinning the 0.9x tangible book floor that Reopen B rests on", "instrument": "FEMA National Risk Index connector, per-site",

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"drainable_now": true, "estimate": null}, {"item": "Per-plant OSHA establishment/inspection records to corroborate the satellite thermal read the two benches interpreted in opposite directions", "instrument": "OSHA establishment search, per plant (Bedford / Hickory / Valdese / Mt. Airy)", "drainable_now": true, "estimate": null}, {"item": "Whether the two consecutive years of undetected CEO grant-limit breach produce a disclosed control deficiency", "instrument": "Q2 FY2027 10-Q Item 4 controls language", "drainable_now": false, "estimate": {"range": "material weakness or significant deficiency disclosed: yes/no", "basis": "base rate for compensation-plan administrative errors reaching a reported material weakness is low, aggravated here by two consecutive undetected years", "p": 0.2}}}]}
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ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): THE \$12.50 BAND IS DEAD — stale pre-divestiture basis under an AVOID state with no written reason (the contradiction this court was convened to resolve). No print edge either way; the true dated catalyst is the Section 232 step 25%→30% on 2027-01-01, not the 9/11 print. FLAT into 9/11, MANDATORY re-court within 48h: reopen to 0.5% if Hooker Branded GM ≥35% with 232 duty quantified in COGS and backlog flat-or-better; AVOID-with-basis if GM gives back >half the Q1 gain or the dividend is cut. Trio ruling: desk/data/court_artifacts/BAND_TOUCH_TRIO_ADJUDICATION_202609042230.md